

GCE AS – ECONOMICS

Component 1: Introduction to Economic Principles Practice Paper 1 (Moderate)

Time allowed: 1 hour

ADDITIONAL MATERIALS

A calculator.

INSTRUCTIONS TO CANDIDATES

Use black ink or black ball-point pen. Do not use gel pen or correction fluid.

You may use a pencil for graphs and diagrams only.

Answer **all** questions.

Write your answers in the spaces provided. If you run out of space, use the additional pages at the back of the booklet, taking care to number the question(s) correctly.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets at the end of each question or part-question.

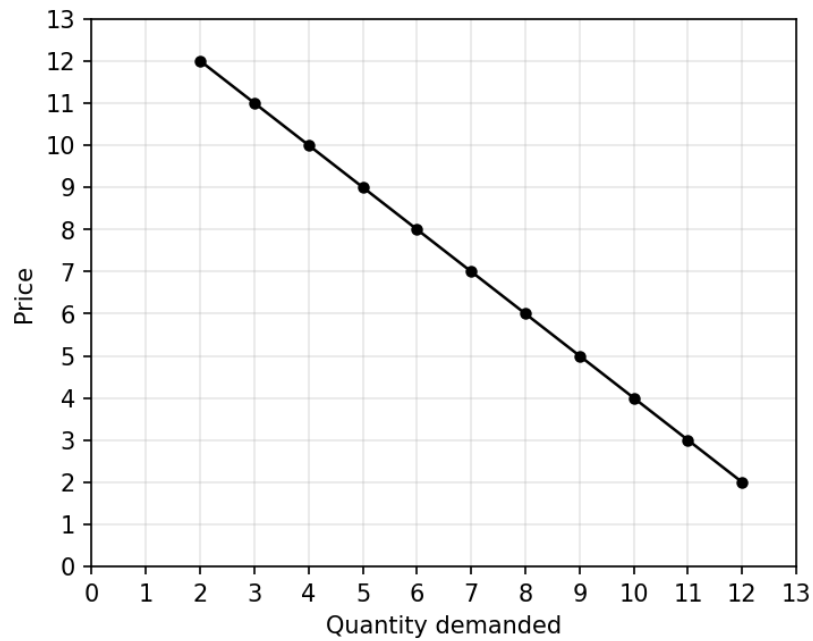
You are reminded of the necessity for good English and orderly presentation in your answers.

For Examiner's use only

Question	Maximum Mark	Mark Awarded
1.	6	
2.	11	
3.	6	
4.	9	
5.	8	
6.	9	
7.	11	
Total	60	

Answer all the questions in the spaces provided.

1. Using calculations in your answer, outline how price elasticity of demand changes along this demand curve. [6]



.....

.....

.....

.....

.....

.....

.....

.....

2. In 2022 a shop in the United Kingdom sold 3 main products as shown in **Table 1**.

Table 1:

Product type	% of sales (in 2022)	Estimated income elasticity of demand
Product 1	60	+2.4
Product 2	10	-0.4
Product 3	20	+0.3

(a) Using the data in column 3 of **Table 1**, outline the differences between the types of products sold by the shop using income elasticity of demand. **[5]**

.....

.....

.....

.....

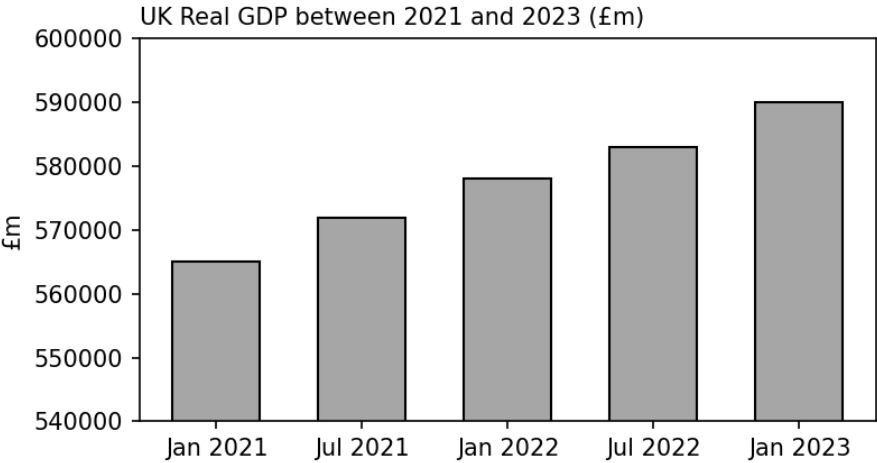
.....

.....

.....

.....

Figure 1: UK Real GDP between 2021 and 2023 is shown below in £m



(b) Using Table 1 and Figure 1, consider whether the change in UK Real GDP between 2021 and 2023 will be harmful for the total revenue of the shop. [6]

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

3. In 2023 the central bank of an emerging economy, the National Bank of Egypt, intervened in foreign exchange markets to support the value of the Egyptian Pound (EGP) against the US dollar.

Between January and December 2023 the EGP weakened from \$1 : 24.5 EGP to \$1 : 30.9 EGP. The central bank announced that it would continue to intervene to maintain stability.

Figure 2: Trade flows (2023)

Egyptian exports to US	Egyptian imports from US
\$2.1 bn	\$6.4 bn

(a) Using a demand and supply diagram, outline how the central bank might be able to manage their exchange rate **above** their free-market exchange rate. [3]

.....

.....

.....

.....

.....

.....

.....

.....

.....

(b) Using **Figure 2**, explain why critics would argue that the recent depreciation from \$1 : 24.5 EGP to \$1 : 30.9 EGP is the result of an unsustainable level of imports rather than market manipulation. **[3]**

.....

.....

.....

.....

.....

.....

.....

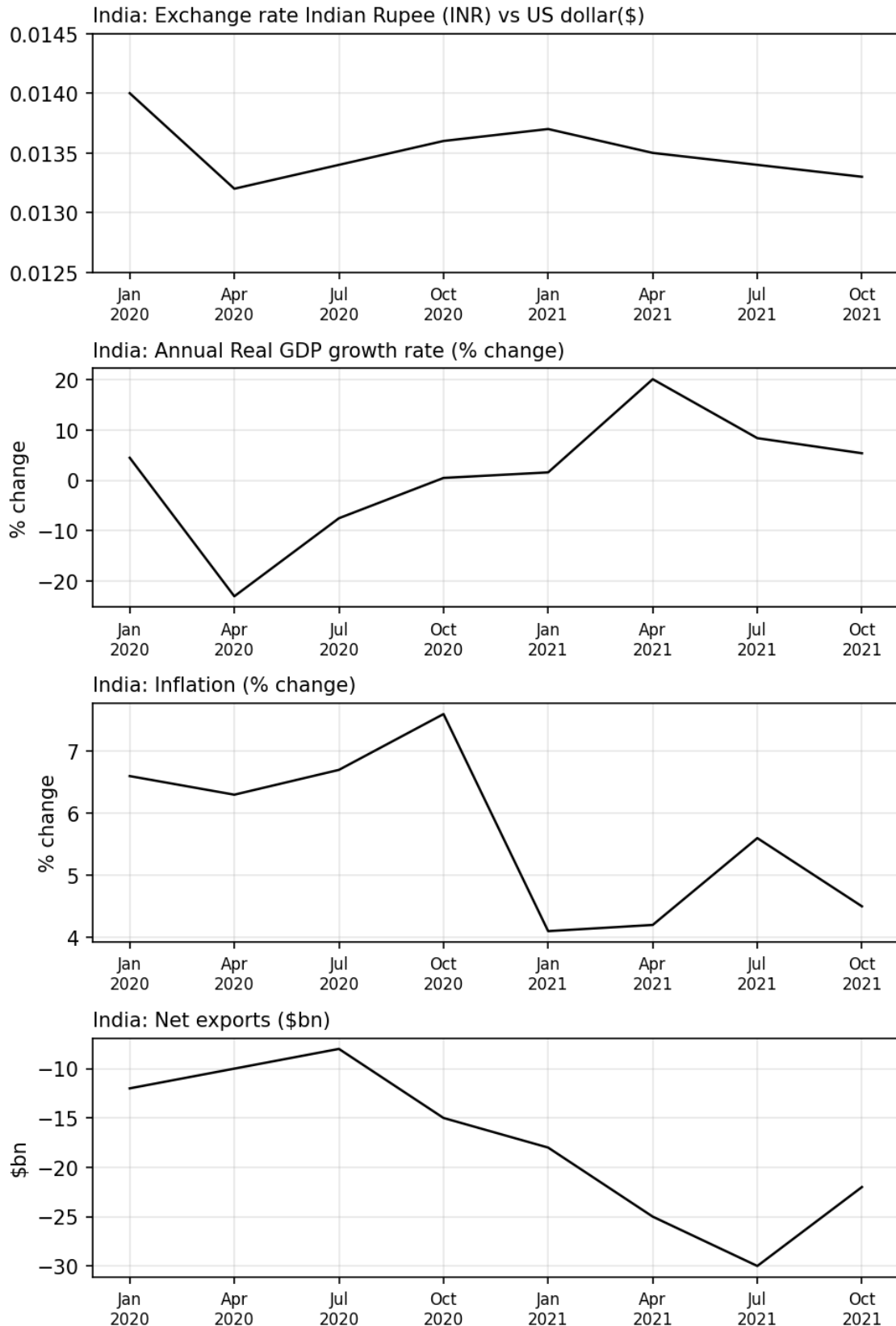
.....

.....

.....

.....

4.



Using the data and economic analysis, discuss the strength of the relationship between India's exchange rate and its economic growth, inflation and net exports between January 2020 and October 2021. [9]

.....

.....

.....

.....

.....

.....

This image shows a full page of primary-ruled paper. It consists of multiple horizontal rows, each defined by two parallel dotted lines. The rows are evenly spaced across the entire page, providing a guide for letter height and placement for young learners. There are no margins, text, or other markings present.

5. Many local councils in the UK manage areas of common land — parks, woodlands and grazing land — where no individual or business holds private property rights. In recent years some councils have reported overuse: littering, illegal grazing, off-roading and the dumping of waste have all increased.

Local residents have called for tighter regulation, while others argue that the current open-access arrangement is part of the area's cultural heritage and should be preserved.

To what extent will the absence of private property rights over UK common land lead to market failure? **[8]**

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

6. In 2024 a national government announced a package of new measures to reduce the consumption of sugary soft drinks, classified as a demerit good. The proposed measures include:

- An expansion of the existing sugar tax to cover all sweetened beverages including milk-based drinks.
- Mandatory front-of-pack health warning labels.
- A ban on sugary soft drink sales in primary and secondary schools from 2026.
- Free dental-check-up vouchers for low-income families.

Critics argue that the package will lead to higher prices for consumers, higher unemployment in the beverage sector and a slower rate of economic growth.

Evaluate whether the proposed package is likely to lead to higher prices, higher unemployment and a lower rate of economic growth. [9]

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

7. In a regional rugby competition consisting of teams with 35 players, the average wage per player has increased from £315 per week in 1990 to £3 800 per week in 2022.

Recently the regulators of the competition introduced a total wage cap (a maximum total wage cost for labour). The total wage cap was set at £3.2m for each team per year.

Some teams commented that the total wage cap was "too low".

(a) Using calculations in your answer, explain why the total wage cap in 2022 might have been said to be "too low". [4]

.....

.....

.....

.....

.....

.....

.....

.....

.....

In an elite international cricket competition, pre-1977 the players' wages were tightly restricted by their home nation cricket boards (effectively a maximum price of labour). The table below shows real wage changes from 1977:

	Elite player real wage per player per week
In 1977 before removal of the maximum price of labour (wage)	£420
In 2005 average wage	£8 600
In 2023 average wage	£42 000

Recently the sport has signed multi-million-pound TV broadcast deals which generate more revenue for the teams. The elasticity of supply of labour for elite cricketers is said to be inelastic.

(b) Using a diagram in your answer, discuss if the removal of the maximum price of labour was the main cause of the wage growth of elite cricketers since 1977. **[7]**

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

END OF PAPER

Additional page, if required.

Write the question number(s) in the left-hand margin.

This image shows a full page of white paper with horizontal dotted lines. The lines are evenly spaced and run across the width of the page, providing a guide for handwriting practice. There are no margins, text, or other markings on the page.

Additional page, if required.

Write the question number(s) in the left-hand margin.

[illegible]